# HEYTEA NEW PRODUCT LAUNCH

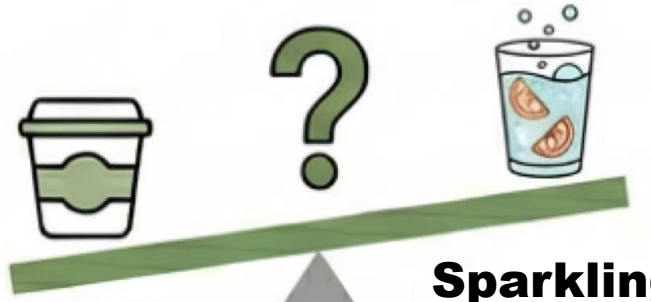


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Group 9

# Product Overview

## The Market Gap: Health vs. Refreshment Dilemma



**Yogurt:**
Healthy but Heavy

**Sparkling Water:**
Refreshing but
Low Flavor / High Sugar

**The solution:**

**“YOGURT BUBBLE”**
(Probiotics + Tea Milk Cap + Bubbles)



**Health and Refreshment**

## Product Concept: “YOGURT BUBBLE”

**——Filling Heytea’s Yogurt Portfolio with a Sparkling Innovation**




**Live Probiotic Yogurt**
≥$10^8$ CFU/cup

**Layered Design**
Tea-Flavored Milk Cap + Strawberry Yogurt, combined with bubbles

**Healthy Trend**
Low-sugar & low-fat (≤3g/cup, 0-10 adjustable sweetness)

**Dual-Core Ingredients + Healthy Attributes + Social Appeal**

# 4P Analysis of Yogurt Bubble

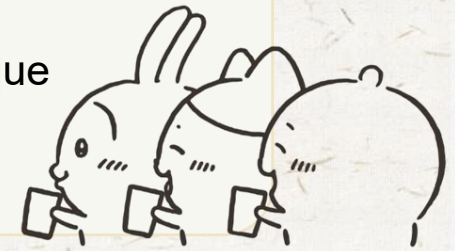
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## Product: The Fusion Innovation

- **Dual-Core:** Live Probiotic Yogurt (≥$10^8$ CFU/cup) + Fresh Strawberry
- **Unique Texture**: Creamy – Refreshing – Smooth Layered
- **Customizable**: Adjustable Sparkle & Sweetness

## Price: Affordable Premium

- **Range:** ¥21(M) - ¥24(L)
- **Positioning**: Between ChaPanda & More Yogurt, offering superior value.
- **Strategy**: Premium ingredients & unique experience justify price.



## Place: Omnichannel Access

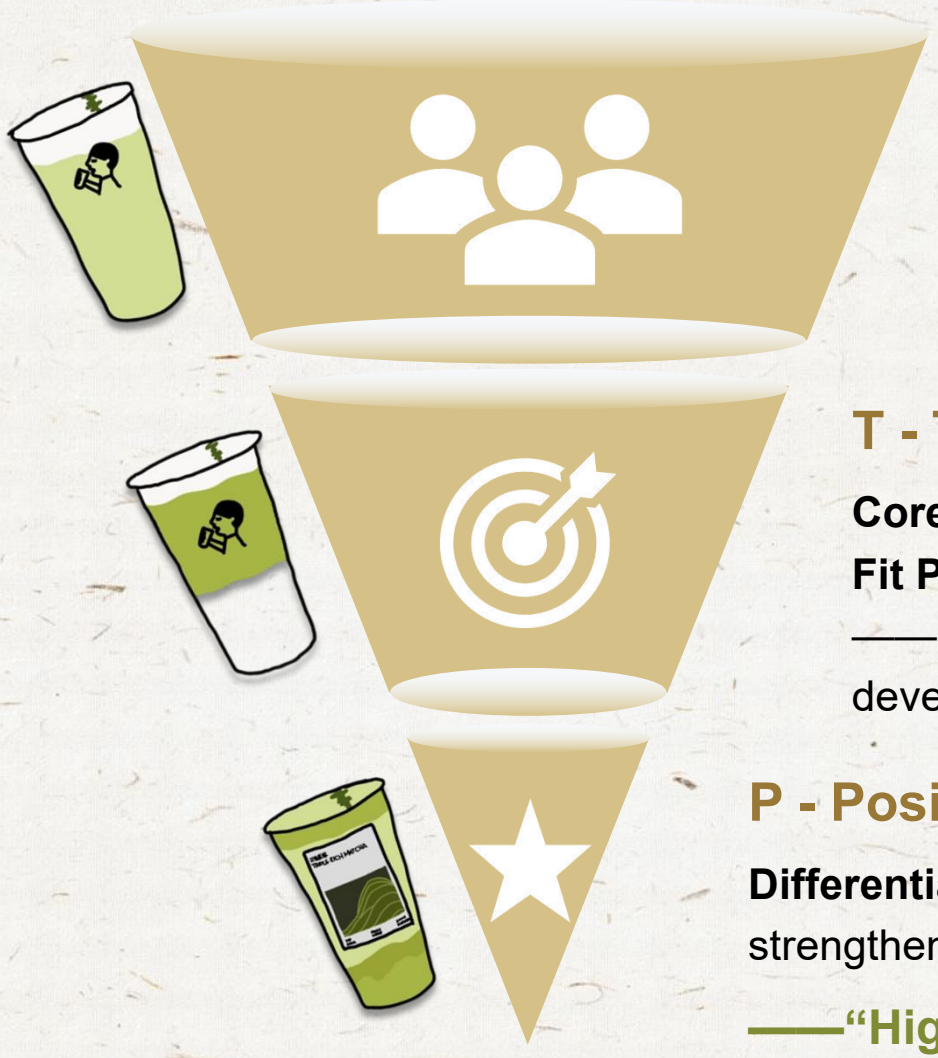
- **Offline:** 1,000+ direct stores in first / second-tier cities (business districts/universities), targeting high-value cluster.
- **Online**: Delivery with special sealing tech for freshness.
- **Focus**: High-traffic urban areas for immediate consumption.

## Promotion: Activated Campaign

- **Online Campaign:** #YogurtBubbleMix on Douyin / RedNote with fitness / office KOLs)
- **Offline Activation:** "Health Experience Stations" in office buildings/gyms (sugar-free tasting + raw material display)
- **Brand Collaboration:** Launch "weight-loss packages" with healthy food brands (e.g., Wagas)



# STP Analysis: Market Entry Rationale





## S - Segmentation

**Demographics**: 18-35 Gen Z & Millennials (Urban Focus)
**Needs**: Health (low-sugar/probiotics) + Taste (sparkle/layers) + Social (appearance)
**Scenes**: Afternoon tea / Fitness / Party

## T - Targeting

**Core Group**: 26-35 white-collar + 18-25 female college students
**Fit Points**: Purchasing power match, brand conscious, demand alignment
——Leverage 70% of brand existing core customers, low market development risk.

## P - Positioning

**Differentiation**: Avoid single-component shortcomings of competitors, strengthen "health + appearance + innovation" cognition.

**——"High-End Healthy Fusion Tea"**

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# Competitor Analysis

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## Heytea
‘YOGURT BUBBLE’



## Nayuki
‘Mango Yogurt Shake’



## ChaPanda
‘Purple Rice Yogurt’



## More Yogurt
‘Avocado Shake’

| | Heytea | Nayuki | ChaPanda | More Yogurt |
|---|---|---|---|---|
| **Core Features** | Strawberry + **Tea Milk Cap**<br>Low-sugar + **Bubbles** | Mango + Popping Boba<br>Low-sugar | Original + Purple Rice<br>Low-sugar | Avocado + Fruit Bits<br>Standard Sugar |
| **Price** | ¥22 (M) / ¥24 (L) | ¥22 (M) / ¥26 (L) | **¥17 (M)** / ¥19 (L) | ¥27 (M) / **¥33 (L)** |
| **Target Customer** | 26-35 white-collar & 18-25 female college students | 25-40 health-conscious people | **18-25 price-sensitive** users | 25-35 urban women |
| **Market Performance** | - | ~900 cups/month/store<br>Rating: 4.0/5<br>Positive rate: 96.7% | ~200 cups/month/store<br>Rating: 4.3/5<br>Positive rate: 93.7% | **~2000 cups/month/store**<br>Rating: **4.5**/5<br>Positive rate: 94.8% |
| **Key Difference** | - | **Narrower scenes** (just meal replacement) | Inferior raw materials and more **ordinary flavor** | **High cost** barrier,<br>Heavier meal replacement positioning |

# SWOT Analysis



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## Strengths

- **Product Differentiation:** Unique ‘Probiotic + Bubbles + Tea Milk Cap’ combo. Only one in market.
- **Brand & Supply Chain**: 1000+ Heytea stores (1st/2nd-tier); Reuse existing supply chain
- **Balanced Pricing / Experience**

## Weaknesses

- **Price Threshold:** ¥4 higher than ChaPanda’s Purple Rice Yogurt, risks losing price-sensitive users.
- **User Education Need**: New product needs explanation to overcome taste doubts.
- **Delivery Challenges**: Sparkle fades after 30min.





## Opportunities

- **Market Gap**: Fusion tea <5% market share; Healthy tea market grows 28% (Meituan 2025).
- **Competitor Shortcomings**: Lack our portfolio.
- **Social Communication**: Layered look is ideal for social sharing on media.
- **Scene Extension**: Potential Wagas collaboration for fitness / office ‘weight-loss packages’.

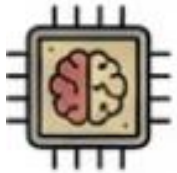
## Threats

- **Competitor Imitation:** Rivals like Nayuki have mature supply chains to quickly copy our idea.
- **Low-Price Competition:** ChaPanda’s ¥17 product dominates sinking markets (divert price-sensitive students)
- **Raw Material Cost Fluctuation:** Volatile probiotic yogurt prices could impact profits.



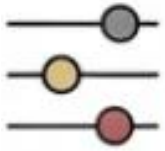
# Respondent Profile

## AI-Driven Stimulation Process



**1.Persona Generation (Gemini, Sample = 300)**

Define Age, Gender, Location, Budget, Occupation, Frequency of drinking Heytea



**2.Attribute + Profile / Survey Design**

Flavor, Price, Sweetness, etc.
Buy or not, Reasons, Occasions, etc.



**3.Data Analysis (Conjoint & Regression)**

Simulated choices & intent.

## Respondent Profile: The Target "High-Value Cluster"



**Median Age:**
23 (Range 21-28)



**Gender Balance:**
48% Female | 48% Male



**Location Focus:**
Tier-1 China (BJ, SH)
& Global Hubs (LA, SG)

## Key Insight: The High-Value Professional Cluster



**Top Professions:**
tech, creative, and service roles prominent



**High Monthly Budget:**
CNY 170 – 360+



**High Frequency:**
1-2 times/week in average

Premium budget strongly correlates with high frequency among young professionals, validating the sample relevance.

# Conjoint Analysis: Trade-offs for Product

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## Attributes & Levels

**Flavor (4):**
- **Strawberry**
- Mango
- Avocado
- Original

**Sweetness (3):**
- Sugar-free
- **Low-sugar**
- Standard

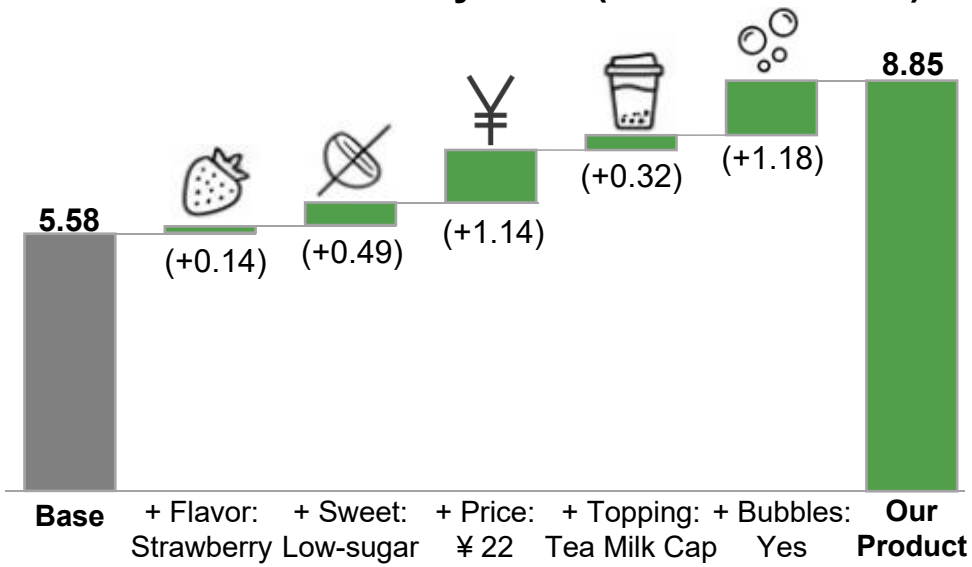
**Price (3):**
- ¥17 - **¥22** - ¥27

**Topping (4):**
- **Tea-Flavored Milk Cap**
- Purple Rice
- Popping Boba
- Fruit Bits

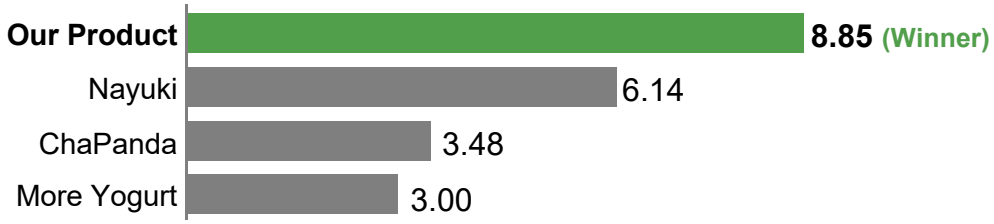
**Bubbles (2):**
- **Yes**
- No

## Utility Building Block & Competitive Gap

### Our Product's Utility Path (Waterfall Chart)



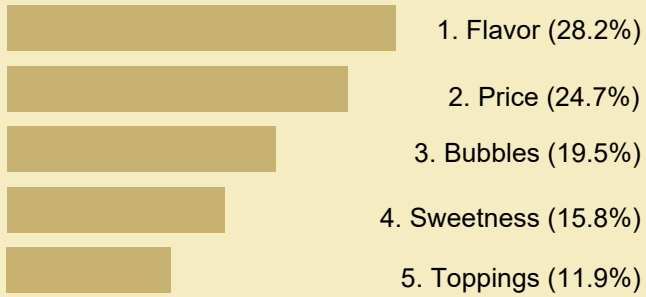

### Competitor Total Utility Comparison (Horizontal Bar)



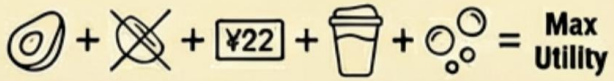

**By optimizing strong drivers (Bubbles), our product beat the competitors penalized by price or lacking features.**

## Strategic Insights

### Insight 1: Importance Ranking




### Insight 2: Winning Formula (Theoretically)



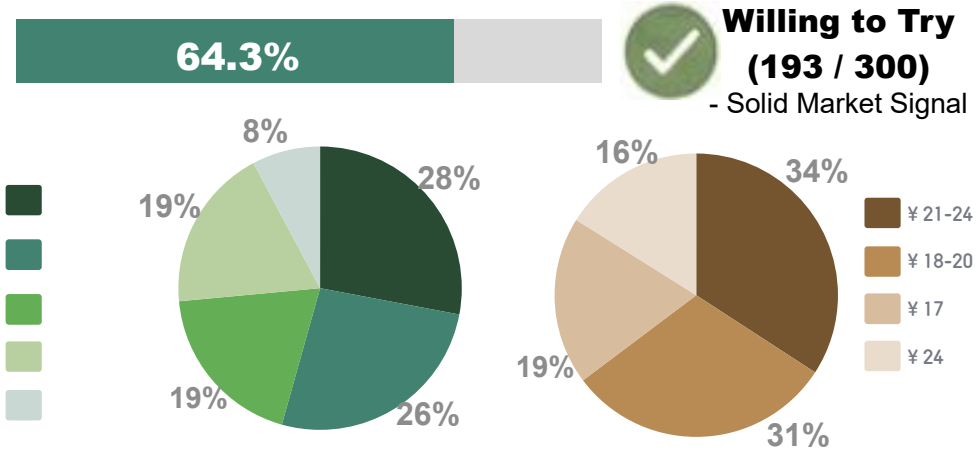

### Insight 3: Business Trade-off (In Reality)

**Cost and Price**: Avocado (+1.55) is top flavor but forces high price. (¥27, -1.78 penalty).

**Our Product**: Luckily, we choose strawberry (+0.14) to secure the optimal ¥22 price (+1.14) successfully, sacrificing flavor utility for an overall market appeal.

# Purchase Drivers Analysis: Stated Motivations vs. Actual Behavior

## Descriptive Data:
### Stated Motivations & Expected Price

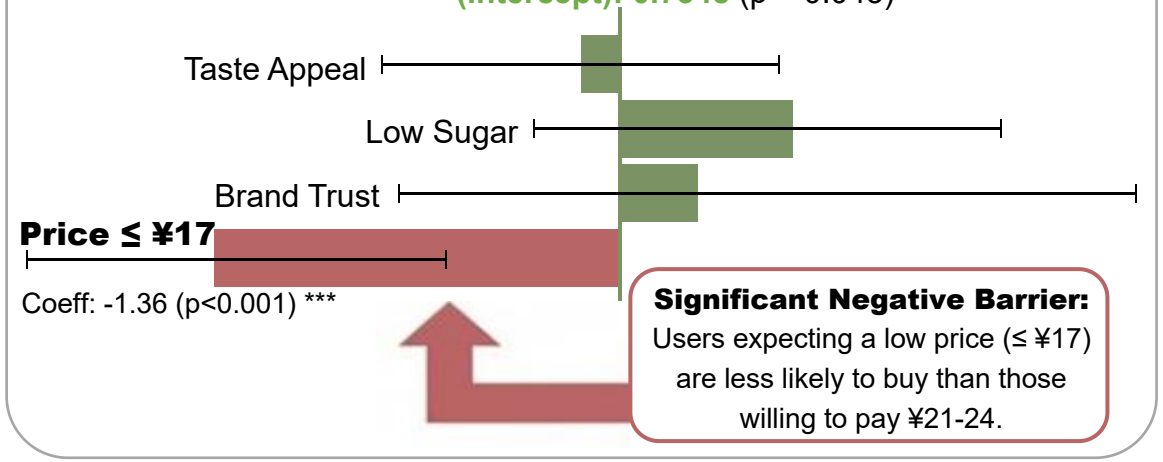



**Purchase Drivers:**
Q: When are you most likely to purchase this YOGURT BUBBLE?

**Price Acceptance:**
Q: What price range can you accept for this YOGURT BUBBLE?

## Regression Model:
### Actual Intent Drivers

**Logit Model (AIC=388.63)**
Use dummy variable and set the reference group
**Baseline:** daily enjoyment, health benefits, ¥21-24
**(Intercept): 0.7348** (p = 0.043) *




**Significant Negative Barrier:**
Users expecting a low price (≤ ¥17) are less likely to buy than those willing to pay ¥21-24.

## Strategic Synthesis: The Critical Insight

**What They Say:**
"Health is my top priority"
(Necessary for consideration )

**The Reality Gap**

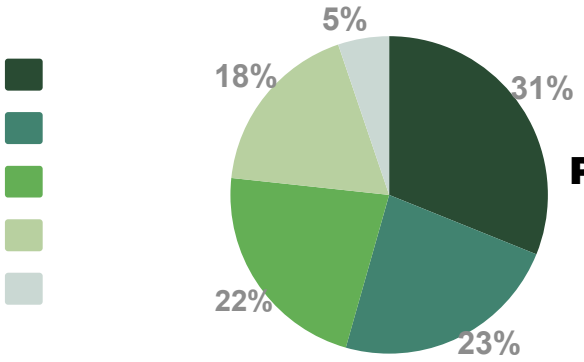
**What They Really Do:**
"I won't buy if it's probably over my budget."
(For those with high price sensitivity, they are naturally resistant to new releases even if they don't know actual price.)

**Conclusion:** Health & Taste are equal 'entry tickets'.
And we should firmly position in the ¥21-24 range. Do not engage in price wars to attract the budget segment.

# Purchase Frequency Analysis: Consumption Scenario Insights

## Descriptive Data:
### Stated Occasions & Frequency

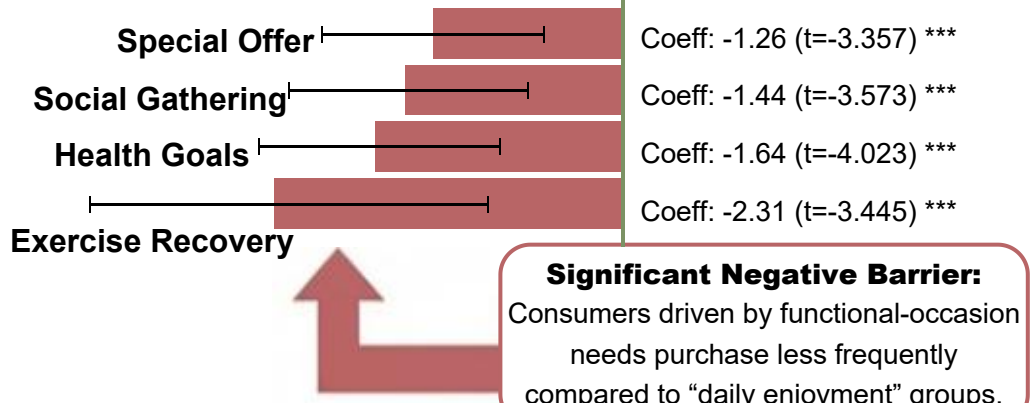
**Purchase Frequency:**
- Median: 2-3 times / month (2.37 average)




**Purchase Occasions:**
Q: When are you most likely to purchase this YOGURT BUBBLE??

## Regression Model:
### Actual Frequency Drivers

**Ordered Logit Model (AIC=479.72)**
Same dummy variable & reference, **Only select the sample who would BUY**
**Baseline:** daily enjoyment, health benefits, ¥21-24
**(Intercept): P("4-6 times") ≈ 49.92% *****




**Significant Negative Barrier:**
Consumers driven by functional-occasion needs purchase less frequently compared to "daily enjoyment" groups.

## Strategic Synthesis: The Critical Insight

**Stated High Interest:**
(22.3% Health Goals)

**Reality Gap**

**Actual Low Frequency:**
(Negative Coeffs)

**Conclusion:** Function needs are curbed & low-frequency; Daily enjoyment is indulgent & high-frequency.

**Action Plan:**

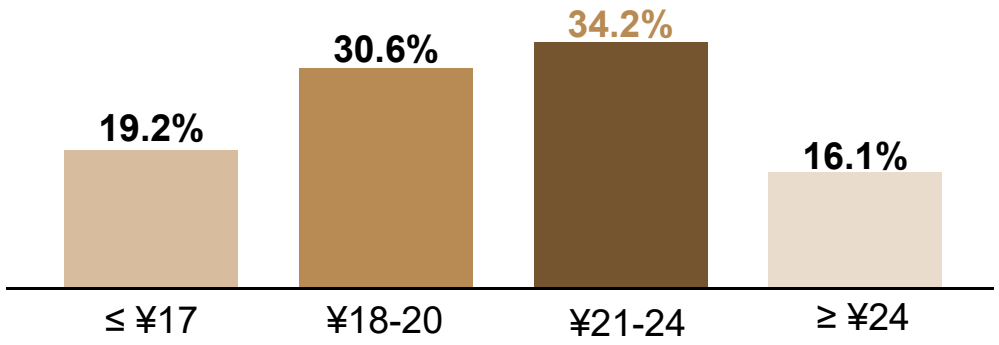
**Marketing Strategy**: Define as "Guilt-free Daily Pleasure" instead of diet replacement. Use health attributes to remove guilt, taste and routine to drive frequency.

# Purchase Frequency Analysis: Price Sensitivity Insights

## Descriptive Data: Expected Price Distribution

**Price Acceptance:**

Q: What price range can you accept for this YOGURT BUBBLE?




**Over 80% accept prices above ¥18. ¥21-24 is the "Golden Range" covering the largest user base.**

## The Dual-Model Paradox: "Two Faces" of Low-Price Users

**Price-sensitive buyers are more frequent purchasers.**

**Model 1: Purchase Intent**
Baseline: ¥21-24, 300 sample

**Coeff: -1.36**
(Significant Negative ***)

Relative to baseline, their purchase threshold is **extremely high**, intent is **very low**.

**≤ ¥17**

**Model 2: Purchase Frequency**
Baseline: ¥21-24, 193 sample (who buy)

**Coeff: +0.86**
(Significant Positive *)

Relative to baseline, if they DO buy, they **buy much more frequently**.

## Strategic Synthesis: Business Decision

**The Trade-off:**
Abandon "Toxic" High Frequency(Low Price & Low Share)

→

**Embrace "Stable" Loyalty**
(Premium Price & Majority Segment)

→

**Final Pricing**
Validate the rationale behind our ¥22 Pricing.

**Conclusion:** Precisely position in the highest-share golden range, avoiding the ≤ ¥17 Price War.

# Conclusion: YOGURT BUBBLE Will Succeed

**Ready to launch a**
**“Guilt-Free Daily Pleasure”**



**Ranked #1 in Conjoint Analysis:**
**Health & Taste perfectly aligned,**
**Bubble Innovation succeed.**

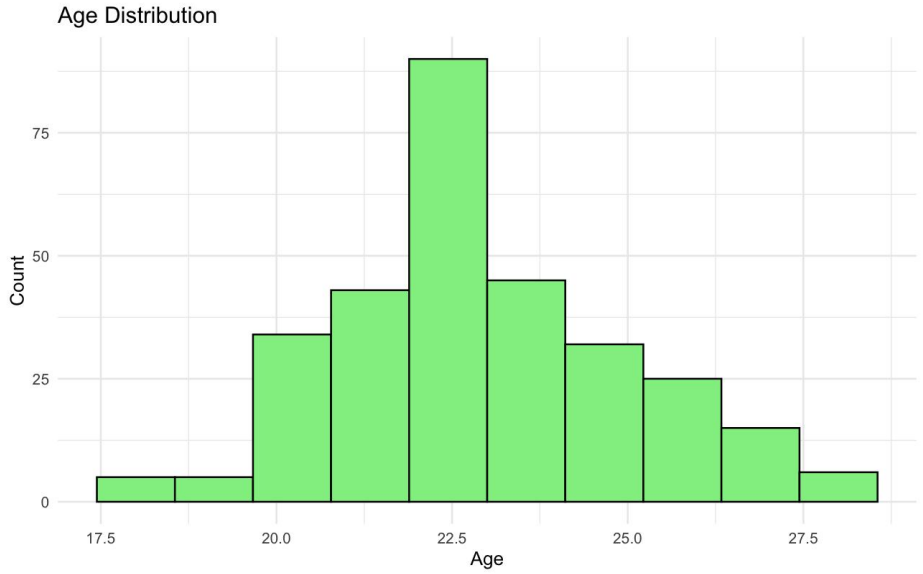
**Strong Intent (64%) &**
**High Frequency (2.37 times / month)**

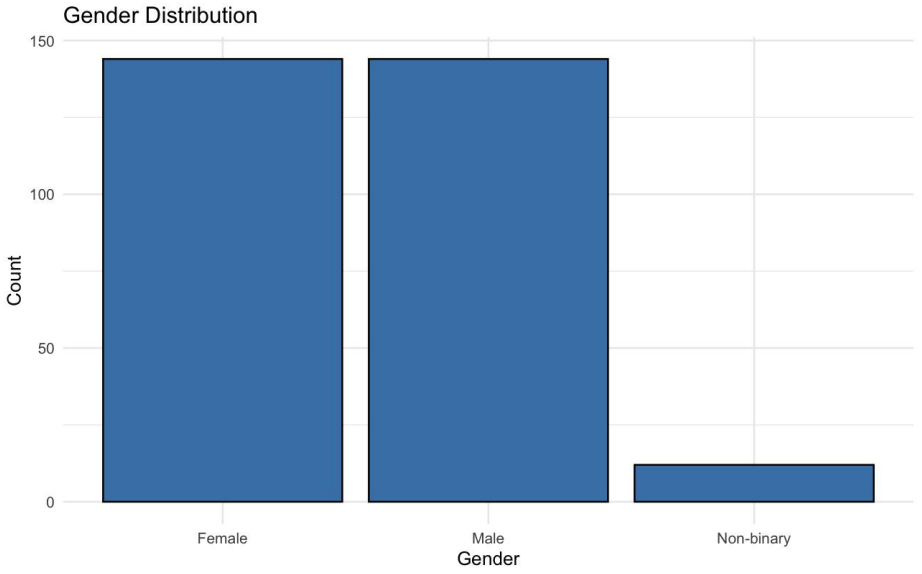
**Premium Value at ¥22-24**
**Popular With High-Value Customer**

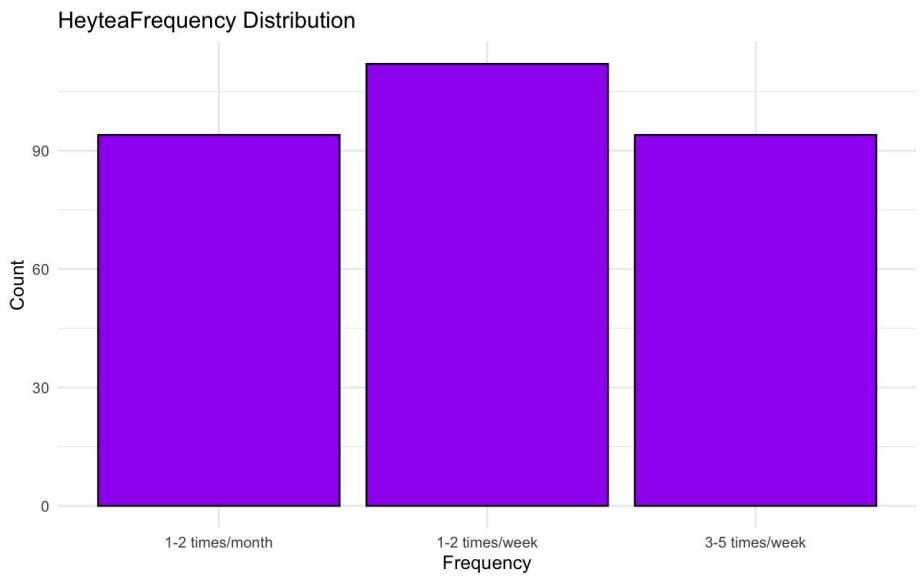


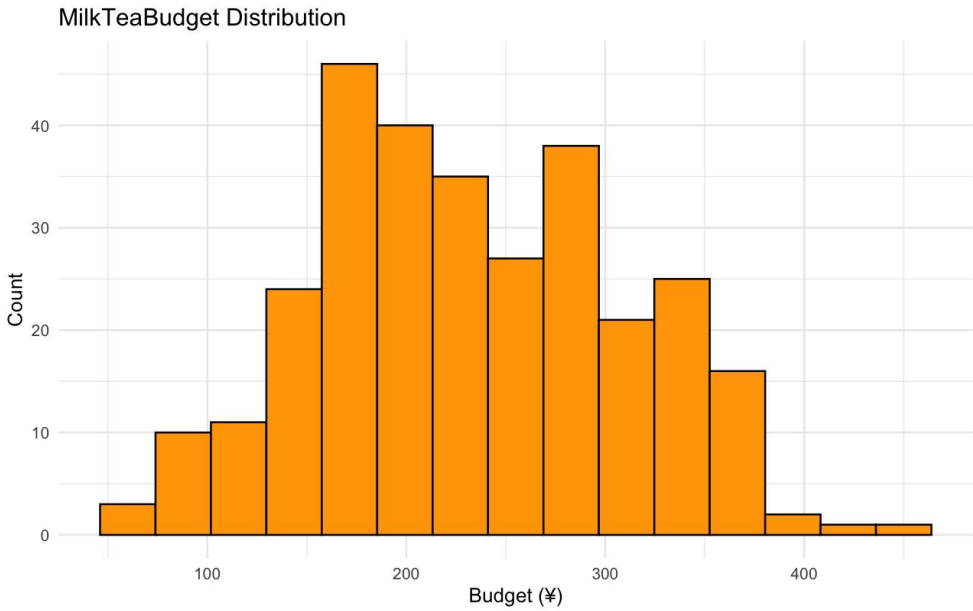

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# Appendix – Descriptive Analysis of Respondent

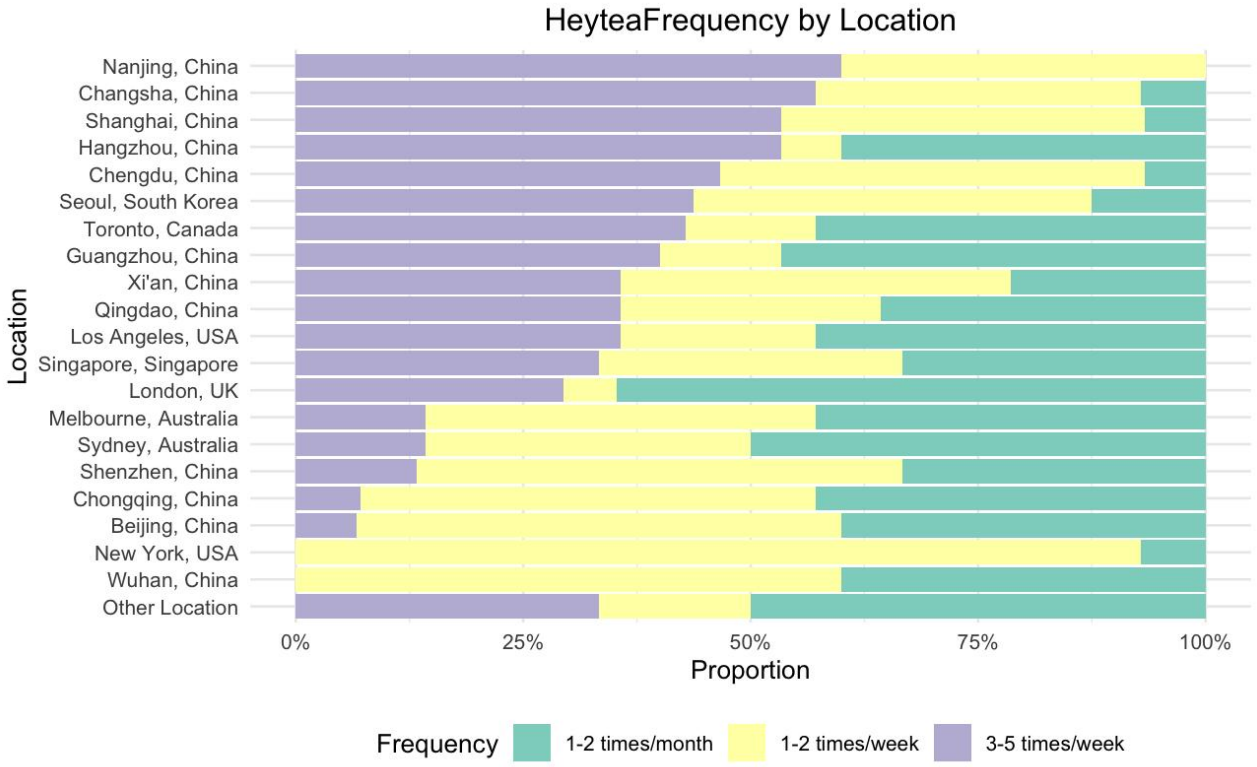


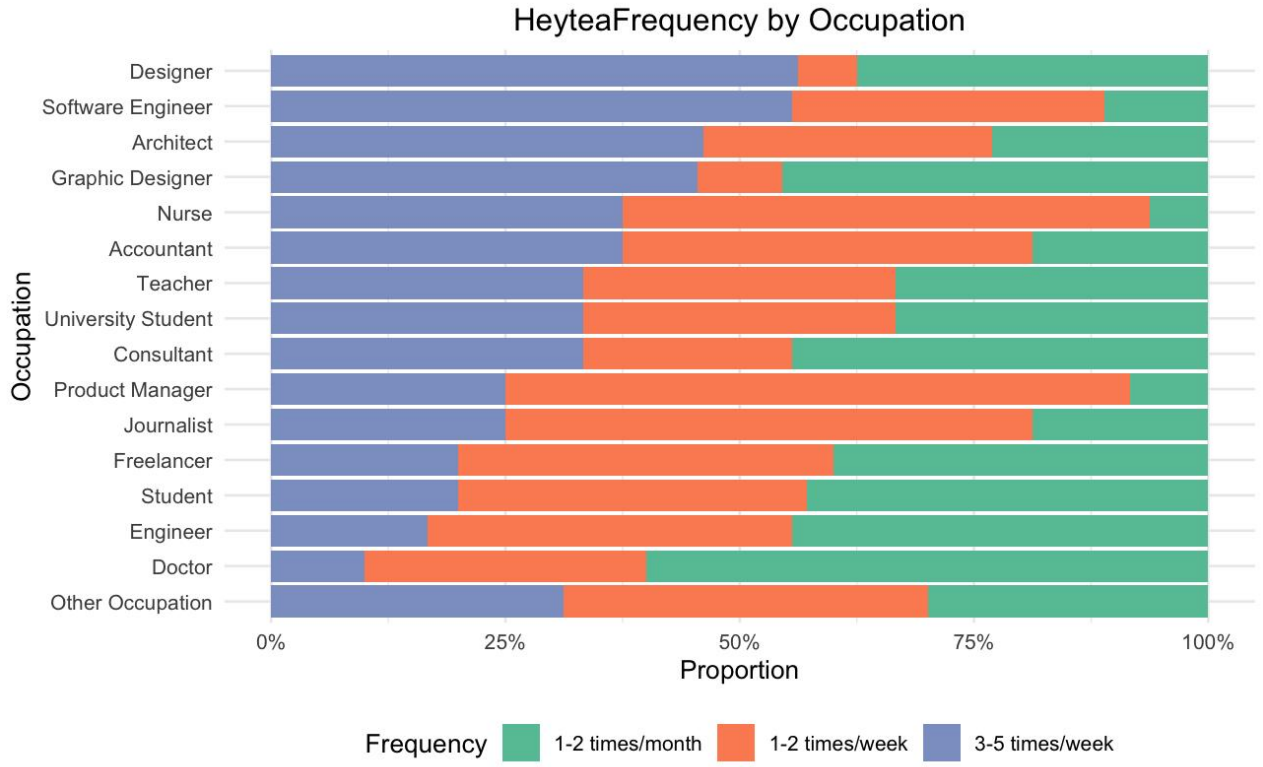



# Appendix – Descriptive Analysis of Respondent



# Appendix – Conjoint Analysis Result

```
Coefficients:
                      Estimate Std. Error t value Pr(>|t|)
(Intercept)           5,577222   0,018355 303,848  < 2e-16 ***
factor(x$Flavor)1     0,137839   0,032558   4,234 2,33e-05 ***
factor(x$Flavor)2     0,119939   0,032558   3,684 0,000231 ***
factor(x$Flavor)3     1,554887   0,032505  47,836  < 2e-16 ***
factor(x$Sweetness)1  0,596566   0,026226  22,747  < 2e-16 ***
factor(x$Sweetness)2  0,487015   0,026195  18,592  < 2e-16 ***
factor(x$Price)1      0,642457   0,029920  21,473  < 2e-16 ***
factor(x$Price)2      1,140308   0,029920  38,112  < 2e-16 ***
factor(x$Toppings)1   0,324144   0,035974   9,011  < 2e-16 ***
factor(x$Toppings)2  -0,234511   0,033616  -6,976 3,30e-12 ***
factor(x$Toppings)3  -0,002836   0,033616  -0,084 0,932775
factor(x$Bubbles)1    1,181210   0,018876  62,578  < 2e-16 ***
---
Signif. codes:  0 ‘***’ 0,001 ‘**’ 0,01 ‘*’ 0,05 ‘.’ 0,1 ‘ ’ 1

Residual standard error: 1,557 on 7188 degrees of freedom
Multiple R-squared:  0,674,     Adjusted R-squared:  0,6735
F-statistic:  1351 on 11 and 7188 DF,  p-value: < 2,2e-16
```

```
[1] "Part worths (utilities) of levels (model parameters for whole sample):"
                   levnms    utls
1               intercept  5,5772
2              Strawberry  0,1378
3                   Mango  0,1199
4                 Avocado  1,5549
5                Original -1,8127
6              Sugar-free  0,5966
7               Low-sugar   0,487
8                Standard -1,0836
9                    CNY17  0,6425
10                   CNY22  1,1403
11                   CNY27 -1,7828
12 Tea-flavored milk cap  0,3241
13            Purple rice -0,2345
14           Popping Boba -0,0028
15             Fruit bits -0,0868
16                    Yes  1,1812
17                     No -1,1812
[1] "Average importance of factors (attributes):"
[1] 28,16 15,78 24,72 11,85 19,50
[1] Sum of average importance:  100,01
[1] "Chart of average factors importance"
```

# Appendix – Regression Results

```
Call:
glm(formula = Purchase_Intent ~ Purchase_Occasion + Purchase_Reason +
    Acceptable_Price, family = "binomial", data = data)

Coefficients:
                                Estimate Std. Error z value Pr(>|z|)
(Intercept)                       0.7348     0.3636   2.021 0.043283 *
Purchase_OccasionExercise Recovery   0.1375     0.5908   0.233 0.815968
Purchase_OccasionHealth Goals        0.1999     0.3412   0.586 0.557949
Purchase_OccasionSocial Gathering    0.4868     0.3902   1.247 0.212268
Purchase_OccasionSpecial Offer       0.4180     0.3516   1.189 0.234432
Purchase_ReasonTaste Appeal         -0.1266     0.3391  -0.373 0.708846
Purchase_ReasonLow Sugar             0.2853     0.3963   0.720 0.471600
Purchase_ReasonBrand Trust (HeyTea)  0.2618     0.6333   0.413 0.679370
Purchase_ReasonReasonable Price      0.4395     0.3996   1.100 0.271338
Acceptable_Price17 & Below          -1.3592     0.3610  -3.765 0.000167 ***
Acceptable_Price18-20               -0.2690     0.3621  -0.743 0.457548
Acceptable_Price24 & Above           0.1153     0.4400   0.262 0.793243
---
Signif. codes:  0 ‘***’ 0.001 ‘**’ 0.01 ‘*’ 0.05 ‘.’ 0.1 ‘ ’ 1

(Dispersion parameter for binomial family taken to be 1)

    Null deviance: 390.89  on 299  degrees of freedom
Residual deviance: 364.63  on 288  degrees of freedom
AIC: 388.63

Number of Fisher Scoring iterations: 4
```

**Logit Regression**

```
Call:
polr(formula = as.factor(Monthly_Frequency) ~ Purchase_Occasion +
    Purchase_Reason + Acceptable_Price, data = data_purchasers,
    Hess = TRUE)

Coefficients:
                                    Value Std. Error t value
Purchase_OccasionExercise Recovery -2.3127     0.6713 -3.4450
Purchase_OccasionHealth Goals      -1.6380     0.4071 -4.0234
Purchase_OccasionSocial Gathering  -1.4410     0.4033 -3.5730
Purchase_OccasionSpecial Offer     -1.2551     0.3739 -3.3571
Purchase_ReasonTaste Appeal        -0.4458     0.3840 -1.1608
Purchase_ReasonLow Sugar           -0.3225     0.4209 -0.7661
Purchase_ReasonBrand Trust (HeyTea)  0.3894     0.5411  0.7197
Purchase_ReasonReasonable Price    -0.5705     0.4642 -1.2289
Acceptable_Price17 & Below          0.8577     0.4329  1.9815
Acceptable_Price18-20               0.2667     0.3747  0.7117
Acceptable_Price24 & Above         -0.7699     0.4220 -1.8242

Intercepts:
                           Value   Std. Error t value
1 time or less|2-3 times -2.9096  0.4442    -6.5500
2-3 times|4-6 times      -0.8568  0.3943    -2.1726
4-6 times|7+ times        1.3735  0.4181     3.2848

Residual Deviance: 451.7231
AIC: 479.7231
```

**Ordered Logit Regression**